

Bachelor in Computer Applications

Course Title: **Economics**

Code No: Semester: **2**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Note: Group A (Multiple Choice Questions) is not available from the source. The paper begins with Group B.

Group B

1. Define price elasticity of demand. Discuss the various types of price elasticity of demand with diagrams.
2. What is indifference curve? What are its properties? Explain.
3. What is perfect competition market? How price and output are determined under it?
4. Write short notes on scarcity and choice.
5. Consider the following table:

Combination	A	B	C	D	E	F	G	Price (Rs.)
Quantity	76	54	32	1				
Units	500	750	1250	2000	3250	4750	8000	a.

a. Find the price elasticity of demand for movement from points A to C and C to A by proportional method.
b. Compute the price elasticity of demand at the mid way between A to C and C to A by arc method.
6. Consider the following cost schedule:

Output	0	1	2	3	4	5	6	7	8	9	Total Cost (TC)
	300	330	354	372	396	450	540	672	840	1080	a.

a. Compute TFC, AFC, AVC, MC and AC.
b. Graph AC and MC and explain the relationship between AC and MC.
7. Let us suppose a consumer has fixed income of Rs.2000. He selects two goods X and Y for consumption having prices with Rs.400 and Rs.200 respectively.
a. Derive budget line.
b. Show his equilibrium point when he allocates entire budget equally on two goods.
8. Discuss the government intervention in market through price floor, price ceiling and tax effect.
9. What are the instruments of monetary policy?
10. Explain the condition for optimum employment of two variable inputs.
11. Explain the features of free market economy.
12. Calculate Gross Domestic Product (GDP) and National income from the following data:

S.N.	Items	Rs. (in Millions)
1	Personal Consumption Expenditure	6500
2	Indirect tax less subsidies	150
3	Government consumption and investment expenditure	2500
4	Change in business inventories	100
5	Gross Private domestic fixed investment	950
6	Exports	900
7	Net factor payments to the rest of the world	-100
8	Imports	1200
9	Depreciation	200
10	Foreign Investment	250